

selected bare components and supply chain ecosystems, and capital equipment. Bare components refer to products like capacitors and resistors, also known as passive components; selected bare components are parts required for a specific project.

“Passive components are critical and great first few steps to strengthen the base manufacturing supply chain. These are moderate to highly sophisticated, going into almost every modern electronic device from smartphones, TVs, wearables, surveillance cameras, PCs, automotive to artificial intelligence servers. Most of these PCBs are mainly sourced from incumbent suppliers from China, Taiwan, South Korea,” says Neil Shah, vice president, Counterpoint Research.

The response has been overwhelming. As of October 2025, 249 proposals worth ₹1.15 lakh crore had been received, nearly double the government’s expectations. The proposed production value was ₹10.3 lakh crore, with the potential to generate 140,000 jobs.

Applicants include Dixon Technologies, Zetwerk Electronics, Tata Electronics and Bhagwati Products, along with micro, small and medium enterprises and companies from Taiwan and Vietnam.

“We also are making sure that whoever comes on stream first manufactures, starts the process, and gets the subsidy. We have made it very clear to all the applicants,” says Krishnan.

TURNING POLICY INTO PRODUCTION

Industry veterans say that India’s climb up the electronics value chain will be a long haul. Back in



“**When Nokia feature phones were made in India, about seven or eight categories, including displays, housings, connectors, power supplies, were 100% localised**”

Josh Foulger,
CEO, Zetwerk Electronics



“**Nearly 60% of the \$500 billion electronics manufacturing target will have to come from components**”

Rahul Sharma
Co-founder, Bhagwati Products

2010, when Nokia feature phones were made in India, about seven or eight categories, including displays, housings, connectors, power supplies, were 100% localised, says Josh Foulger, CEO of Zetwerk Electronics.

“We were cheaper than China across the entire bill of material stack and exported to 110 countries,” adds Foulger, director of Nokia India for 17 years until 2015; he later spearheaded the operations of Bharat Foxconn International Holdings until March 2024.

That ecosystem collapsed when Nokia’s factory shut down in 2014 amid a global restructuring exercise. Around the same time, Chinese smartphone brands like Xiaomi, Vivo, and Oppo entered India with an assembly-led model, importing semi- or completely knocked-down handset kits to assemble locally.

EXECUTION IS KEY

Policy gaps didn’t help. Before the Phased Manufacturing Programme of 2016–17, there were no strong incentives for localisation. Assembly was cheaper and faster. Component manufacturing required larger investments, precision tooling and demand in the form of long-term contracts.

Today, on the back of Production Linked Incentive schemes for smartphones, information technology hardware and others, India has managed to reach a scale where there is sufficient demand for stepping up the value chain of components manufacturing.

Zetwerk, a contract manufacturer, has applied under ECMS. The company took stock of both the mechanical bill of materials and the electronics bill of